



AFRICAN ALLIANCE
INSURANCE PLC

MANAGEMENT ACCOUNT

FOR THE PERIOD ENDED 30 SEPTEMBER 2024

RESULTS AT A GLANCE FOR THE PERIOD ENDED 30 SEPTEMBER 2024

Gross premium written

Gross premium income

Net premium income

Underwriting Expenses

Claims paid

Changes in contract liabilities

Underwriting Profit/(Loss)

Investment income & Other Income

Operating expenses

Profit/(Loss) before tax

Profit/(Loss) after tax

Financial Assets

Investment Properties

Total assets

Insurance contract liabilities

investment contract liabilities

Total liabilities

Total Equity

(Loss)/Earnings per share (basic) - in kobo

Solvency Margin

Asset Cover

CLAIMS/PREMIUM (LOSS RATIO)

UW EXPENSES/PREMIUM (EXPENSE RATIO)

COMBINED RATIO

UNDERWRITING MARGIN

OPERATING EXPENSES/PREMIUM

INVESTMENT INCOME/PREMIUM

PROFIT/(LOSS) MARGIN

RETURN ON ASSET

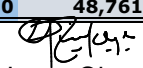
RETURN ON EQUITY

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AFRICAN ALLIANCE INSURANCE PLC
STATEMENT OF FINANCIAL POSITION
AS AT 30 SEPTEMBER 2024

	Note	Company	
		ACTUAL	ACTUAL
		30-Sep-24 N'000	31-Dec-23 N'000
ASSETS			
Cash and cash equivalents	6	50,139	787,831
Financial assets	7		
'-fair value through profit or loss-equities		86,088	270,453
'-fair value through profit or loss-bonds		2,038,246	3,058,136
'- fair value through Other comprehensive income		29,846,418	29,846,418
'- Amortised cost		62,782	62,782
Trade receivables	8	-	-
Reinsurance assets	9	104,553	104,553
Other receivables and prepayments	10	762,622	604,213
Investment properties	11	12,734,000	12,734,000
Investment in subsidiary	12	105,000	105,000
Investment in Associate	13	-	-
Retirement benefit assets	22	-	-
Deferred Tax Asset	25b	146,476	146,476
Intangible assets	14	23,677	32,785
Property plant and equipment	15	578,412	684,776
Right of Use Assets	16	84,878	123,950
Statutory deposit	17	200,000	200,000
Total assets		46,823,290	48,761,374
LIABILITIES			
Insurance contract liabilities	18	37,735,325	40,849,131
Investment contract liabilities	19	2,435,773	2,919,135
Trade payable	20	1,684,566	1,649,987
Other payables and accruals	21	1,063,199	611,550
Employee benefit liabilities	22i	45,106	48,325
Borrowings	23	-	0
Tax payable	24	563,752	561,865
Deferred tax liability	25	92,107	92,107
Total liabilities		43,619,828	46,732,099
EQUITY			
Share capital	26	10,292,500	10,292,500
Share premium	26	14,365,133	14,365,133
Contingency reserves	27	2,101,485	1,983,878
Retained earnings	28	(38,954,040)	(40,010,618)
Fair value reserves	29	15,398,382	15,398,382
Total equity		3,203,462	2,029,275
Total equities and liabilities		46,823,290	48,761,375


 Akinnode Raji
 Chief Financial Officer


 Joyce Ojemudia
 MD/CEO

AFRICAN ALLIANCE INSURANCE PLC

STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 SEPTEMBER 2024

	Note	Company	
		ACTUAL 30-Sep-24	ACTUAL 03-Sep-23
		N'000	N'000
Gross premium written	30	4,057,897	4,915,275
Unearned premium		(930,576)	(367,882)
Gross premium income		3,127,322	4,547,393
Insurance premium ceded to reinsurers	31	(109,212)	(56,082)
Net premium income		3,018,110	4,491,311
Fees and commission income	32	-	-
Net underwriting income		3,018,110	4,491,311
Insurance claims incurred and loss adjustments	33	(2,009,373)	(6,196,317)
Insurance claims incurred recovered from		-	-
Underwriting expenses	34	(778,002)	(1,032,661)
Changes in long term insurance contracts	35	2,703,866	721,895
Net underwriting expenses		(83,509)	(6,507,083)
Net underwriting profit		2,934,601	(2,015,772)
Other income	36	215,831	426,339
Impairment charges		-	-
Fair value gain/(loss) on investment properties		-	-
Fair value (gain)/loss (FVTPL)	37	(502,680)	32,748
Investment income	38	(451,710)	713,344
Profit/(Loss) from investment contracts		(28,991)	(48,939)
Share of profit of equity accounted investee		-	-
Employee benefit expenses	41	(410,307)	(727,094)
Other operating and administrative expenses	42	(569,775)	(1,290,119)
Impairment loss Allowance (ECL)	43	23,904	(7,679)
Finance cost	44	(34,799)	-
Profit/(Loss) before tax		1,176,073	(2,917,172)
Income tax expense	45	(1,888)	(4,631)
Profit/(Loss) for the year		1,174,186	(2,921,803)
Profit/(Loss) attributable to:			
- Owners of the parent			
- Non-controlling interests			
Other comprehensive income			
<i>Items that may be subsequently reclassified to profit or loss</i>			
Foreign exchange translation gain/(loss)		-	-
<i>Items that will not be subsequently reclassified to profit or loss</i>			
Gain on revaluation of property, plant and equipment (net of taxes)		-	-
Additional reserve on sale and reacquisition of investment in associate		-	-
Change in value of unquoted equities FVOCI (net of taxes)		-	-
		-	-
		-	-
Other comprehensive income for the year		-	-
Total comprehensive income for the year		1,174,186	(2,921,803)
Total comprehensive income attributable to:			
- Owners of the parent		1,174,186	(2,921,803)
- Non-controlling interests		-	-
		1,174,186	(2,921,803)

AFRICAN ALLIANCE INSURANCE PLC

STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024

	Company	
	30-Sep-24 N'000	31-Dec-23 N'000
Cash flows from operating activities		
Cash premium received	4,046,064	7,018,344
Premium received yet to be allocated	(11,834)	901,508
Cash received from deposit contract liabilities	672,867	200,654
Cash withdrawals from deposit contract liabilities	(1,185,230)	(1,490,029)
Cash Claims recovered	-	-
Dividend received	6,614	12,823
Claims paid	(3,344,436)	(6,954,691)
Cash paid to reinsurers/ coinsurers	(109,212)	(239,759)
Commission received	-	71,417
Maintenance expenses paid	(211,886)	(499,212)
Acquisition costs	(566,116)	(869,929)
Employee benefits paid	(410,307)	(995,314)
Other operating expenses paid	(407,234)	(1,747,683)
Other income received	38,877	102,104
Interest received	(458,325)	1,729,867
Income tax paid	-	-
Net cash from operating activities	(1,940,157)	(2,759,901)
Cash flow from investing activities:		
Purchases of plant and equipment	(13,049)	(71,200)
Purchase of intangible assets	-	(13,438)
Capital Improvement of investment properties	-	-
Proceeds from disposal of property and equipment	-	-
Proceeds from disposal of investment in associate company	0	-
Capital injection made to subsidiary	-	-
Proceeds from disposal of investments-equities FVTPL	-	-
Purchase of financial assets- Bonds FVTPL	-	(240,000)
Purchase of financial assets - Amortised cost	-	-
Redemption of financial assets - Bonds	-	3,979,143
Redemption of financial assets - Amortised cost	-	-
Right of Use	-	(195,935)
	-	-
Net cash used in investing activities	(13,049)	3,458,571
Cash flow from financing activities:		
Purchase/Proceeds from disposal of associate	-	-
Repayment of borrowings	-	(22,444)
Proceeds from borrowings	-	-
Net cash used in financing activities	-	(22,444)
Net increase/(decrease) in cash and cash equivalents	(1,953,206)	676,226
Cash and cash equivalent at beginning of year	1,755,651	1,079,425
Net increase/decrease in cash and cash equivalents	(1,953,206)	676,226
Cash and cash equivalent at end of period	(197,555)	1,755,651

AFRICAN ALLIANCE INSURANCE PLC
STATEMENT OF CHANGES IN EQUITY - COMPANY
FOR THE PERIOD ENDED 30 SEPTEMBER 2024

	Share capital N'000	Share premium N'000	Contingency reserve N'000	Fair value reserve N'000	Retained earnings N'000	Total N'000
01-Jan-24	10,292,500	14,365,133	1,983,877	15,398,382	(40,010,618)	2,029,274
<i>Total comprehensive income for the year</i>						-
Treasury shares						-
Premium on acquisition of Associate						-
Profit for the year	-				1,174,186	1,174,186
Other comprehensive income for the year	-					-
Total Comprehensive income for the period	-	-	-	-	1,174,186	1,174,186
<i>Transactions with owners, recorded directly in equity</i>						
Transfer to contingency reserve	-		117,607		(117,607)	-
Total transactions with owners, recognised directly in equity	-	-	117,607	-	(117,607)	-
30-Sep-24	10,292,500	14,365,133	2,101,484	15,398,382	(38,954,040)	3,203,460

STATEMENT OF CHANGES IN EQUITY - COMPANY
FOR THE PERIOD ENDED 31 DECEMBER 2023

	Share capital N'000	Share premium N'000	Contingency reserve N'000	Fair value reserve N'000	Retained earnings N'000	Total N'000
01-Jan-23	10,292,500	14,365,133	1,922,694	1,616,522	(37,457,336)	(9,260,487)
<i>Total comprehensive income for the period</i>						-
Treasury shares						-
Premium on acquisition of Associate						-
Profit for the year	-				(2,492,099)	(2,492,099)
Other comprehensive Loss for the year				13,781,860		13,781,860
Total Comprehensive income for the period	-	-	-	13,781,860	(2,492,099)	11,289,761
<i>Transactions with owners, recorded</i>						
Transfer to contingency reserve			61,183		(61,183)	-
Total transactions with owners, recognised directly in	-	-	61,183	-	(61,183)	-
31-Dec-23	10,292,500	14,365,133	1,983,877	15,398,382	(40,010,618)	2,029,274

AFRICAN ALLIANCE INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS

1. General Information

African Alliance Insurance Company is a public limited company incorporated and domiciled in Nigeria. The registered office is located at 54 Awolowo Road, Ikoyi, Lagos.

The company is principally engaged in the business of providing risk underwriting for life, related financial and pension services, aviation and hospitality services to its customers.

2. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are disclosed under General information on the Reporting Entity and Summary of Significant Accounting Policies. These policies have been consistently applied to all the years presented unless otherwise stated.

3 Solvency

The assets backing the life funds are as follows:

	Company	
	2024	2023
	N000	N000
Government Bonds	2,038,246	3,058,136
Cash and bank balances	50,139	787,831
Investment in quoted equity	86,088	270,453
Total	<u>2,174,473</u>	<u>4,116,420</u>

4 Management of Financial risk

The Group is exposed to various financial risks in connection with its current operating activities, such as foreign currency risk, interest rate risk, credit risk, market risk and liquidity risk. These risks contribute to the key financial risk that the proceeds from the Group's financial assets are insufficient to fund the obligations arising from insurance policy contracts.

The Company manages these risks through the activities of the Audit Committee and the Investment Committee. Each committee meets at least four times per annum to discuss financial risk issues. Management is responsible for implementing recommendations that have been agreed and reporting back to the relevant committee.

The Audit Committee is a committee of the Board of African Alliance Insurance Plc and is responsible for the implementation and monitoring of overall risk management, internal financial controls and financial and actuarial reporting within the Group. The main responsibilities of this Committee are:

- Setting and overseeing the overall standard for financial and actuarial reporting, risk management and internal controls within the Group;
- Monitoring the effectiveness of business risk management processes in the Group;
- Reviewing and assessing the quality of the work done by professionals responsible for financial and actuarial reporting, risk management and internal control;
- Engaging in discussions with external and internal auditors on the quality and acceptability of the control environment and reporting

The Investment Committee is a management committee and is responsible for

- ensuring that insurance and investment contract liabilities are matched with appropriate supporting assets based on the type of benefits payable to the contract holders;
- ensuring that the long-term investment return on assets supporting policy liabilities are sufficient to fund policyholders' reasonable benefit expectations and the shareholders' profit entitlement;
- the implementation and monitoring of the asset management process to ensure that the risks arising from trading positions are effectively managed within the pre-determined risk parameters.

4 Market risk

The business's operations are exposed to market risk. Market risk is the risk of adverse financial impact as a consequence of market movements such as currency exchange rates, interest rates and other price changes. Market risks arises due to fluctuations in both value of assets and liabilities. The company has established policies and procedures in order to manage market risk.

The acquisition of policyholders' assets is based on the design of the product and marketing descriptions. Within these parameters, investments are managed with the aim of maximising policyholder returns while limiting risk to acceptable levels within the framework of statutory requirements. The focus of risk measurement and management is to ensure that the potential risks inherent in an investment are reasonable for the future potential reward, exposure to investment risk is limited to acceptable levels, premium rates are adequate to compensate for investment risk and an adequate reserving policy is applied for long-term policy liabilities. The diverse product range requires a variety of approaches to the management of risk; these range from portfolio management practices and techniques such as optimization of expected risks and rewards based on investment objectives, to asset-liability matching in support of statement of financial position obligations.

4 Foreign exchange risk

Foreign exchange risk is the risk associated with movement in the foreign exchange prices from foreign currency denominated transactions which the Group is exposed to.

The Group is exposed to foreign exchange currency risk primarily through certain transactions denominated in foreign currency. The Group is exposed to foreign currency denominated in dollars and Pound through bank balances in other foreign currencies.

The Group manages its exposure to foreign exchange risk using sensitivity analysis to assess potential changes in the value of foreign exchange positions and impact of such changes on the Group's income. There have been no major changes from the previous year in the exposure to risk or policies, procedures and methods used to measure the risk.

4.3 Liquidity risk

Liquidity risk is the risk that the Company is unable to meet its obligations when they fall due as a result of policyholder benefit payments, cash requirements from contractual commitments, or other cash outflows, such as debt maturities. Such outflows would deplete available cash resources for operational, trading and investments activities. In extreme circumstances, lack of liquidity could result in reductions in the consolidated balance sheet and sales of assets, or potentially an inability to fulfil policyholder commitments. The risk that the Group will be unable to do so is inherent in all insurance operations and can be affected by a range of institution-specific and market-wide events including, but not limited to, credit events, merger and acquisition activity, systemic shocks and natural disasters.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the undiscounted contractual cashflow at maturity of the financial liabilities and the expected collection date of the financial assets.

All policyholder funds are invested in appropriate assets to meet the reasonable benefit expectations of policyholders, which include the expectation that funds will be available to pay out benefits as required by the policy contract. The disclosure in note 6 demonstrate that the Group has significant liquid resources. The value for policyholders' liabilities and the assets backing them are as per the carrying amount in the statement of the financial position.

The maturity profile of the total policyholders' liabilities and assets backing them is shown below:

Company							
30-Sep-24	Carrying amount N'000	0-3 months N'000	3 to 9 months N'000	9 to 1 year N'000	1 to 5 years N'000	> 5 years N'000	Total N'000
Trade payables	1,684,566	168,457	421,142	589,598	252,685	252,684.93	1,684,566
Other liabilities	1,672,057	167,206	418,014	585,220	250,809	250,808.54	1,672,057
Investment linked contract liabilities	2,435,773	243,577	608,943	852,521	365,366	365,365.93	2,435,773
Total financial liabilities	5,792,396	579,240	1,448,099	2,027,339	868,859	868,859	5,792,396
Cash and bank balances	50,139	5,014	12,535	17,549	7,521	7,520.81	50,139
Marketable investment securities	31,970,753	1,598,538	959,123	2,237,953	1,598,538	25,576,602	31,970,753
Trade receivables	-	-	-	-	-	-	-
Reinsurance assets	104,553	-	-	104,553	-	-	104,553
Other receivables	762,622	76,262	190,655	266,918	114,393	114,393.23	762,622
Total financial assets	32,888,066	1,679,814	1,162,313	2,626,972	1,720,452	25,698,516	32,888,066
Net financial assets and liabilities	27,095,671	1,100,575	(285,787)	599,634	851,595	24,829,656	27,095,671
Insurance contract liabilities - Life fund	(37,735,325)	(1,226,275)	(1,635,033)	(2,616,053)	(2,697,804)	(29,560,160)	(37,735,325)
Net policyholders assets and liabilities	(10,639,654)	(125,700)	(1,920,820)	(2,016,419)	(1,846,210)	(4,730,504)	(10,639,654)

31-Dec-23	Carrying amount N'000	0-3 months N'000	3 to 9 months N'000	9 to 1 year N'000	1 to 5 years N'000	> 5 years N'000	Total N'000
Trade payables	1,649,987	164,999	412,497	577,496	247,498	247,498	1,649,987
Other liabilities	1,221,740	122,174	305,435	427,609	183,261	183,261	1,221,740
Investment linked contract liabilities	2,919,135	291,913	729,784	1,021,697	437,870	437,870	2,919,135
Total financial liabilities	5,790,862	579,086	1,447,715	2,026,802	868,629	868,629	5,790,862
Cash and bank balances	787,831	78,783	196,958	275,741	118,175	118,175	787,831
Marketable investment securities	33,237,789	1,661,889	997,134	2,326,645	1,661,889	26,590,232	33,237,789
Trade receivables	-	-	-	-	-	-	-
Reinsurance assets	104,553	-	-	104,553	-	-	104,553
Other receivables	604,213	60,421	151,053	211,475	90,632	90,632	604,213
Total financial assets	34,734,386	1,801,094	1,345,145	2,918,414	1,870,696	26,799,038	34,734,386
Net financial assets and liabilities	28,943,525	1,222,008	(102,571)	891,612	1,002,067	25,930,409	28,943,525
Insurance contract liabilities - Life fund	(40,849,131)	(1,496,744)	(1,995,659)	(3,193,054)	(3,292,837)	(29,903,761)	(39,882,055)
Net policyholders assets and liabilities	(11,905,606)	(274,736)	(2,098,230)	(2,301,442)	(2,290,770)	(3,973,352)	(10,938,531)

The maturity of non-derivative financial liabilities and financial assets have been compiled based on undiscounted cash flows, which include estimated interest payments.

4.4 Capital management policies and procedures

The Company manages its capital to ensure that the company will be able to continue as going concern and comply with the regulators' capital requirements while maximising the return to stakeholders through the optimisation of the debt and equity balance. The capital structure of the company consists of equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings.

The Company's Issued share capital as at 30 November, 2023 is N10,292,500 (2022:N10,292,500). The company is in compliance with the minimum capital requirement of N2 billion as stipulated by the Insurance Act.

	2024 N'000	2023 N'000
Share capital	10,292,500	10,292,500
Share premium	14,365,133	14,365,133
Contingency reserves	2,101,485	1,983,878
Fair value reserves	-	-
Translation reserve	-	-
Retained earnings	(38,954,040)	(40,010,618)
	(12,194,921)	(13,369,105)

The Company's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain the future development of the business. Management uses regulatory capital ratios to monitor its capital base. Capital is allocated between specific operations and activities and to a large extent driven by optimisation of the return achieved on the capital allocated. The amount of capital allocated to each activity is based primarily on the regulatory capital. In some cases the regulatory requirements do not fully reflect the varying degree of risk associated with different activities. In such cases, the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation not falling below the minimum required for regulatory purposes. The process of allocating capital to specific operations or activities is undertaken independently of those responsible for the operation by a committee.

The National Insurance Commission (NAICOM) specifies the minimum amount and type of capital that must be held by the company to cover the insurance liabilities. The regulator measures the financial strength of insurance companies using the capital adequacy requirements for the category of company. This test compares insurer's capital against the risk profile.

4.5 Company Hypothecation

Item		Life	Annuity	Investment Contract	Total (Admissible)
Insurance Contract Liabilities		8,175,165	29,560,160		37,735,325
Investment Contract Liabilities			-	2,435,773	2,435,773
Gross Insurance Funds		8,175,165	29,560,160	2,435,773	40,171,098
Less					
Reinsurance Receivables					
1	Reinsurance expenses prepaid		-		-
2	Reinsurers' share of Claims expense paid	(3,597)	-		(3,597)
3	Reinsurers' share of Unearned premium reserve	(17,070)	-		(17,070)
4	Reinsurers' share of Incurred but not reported claims	(83,887)	-		(83,887)
5	Others (specify)	-	-	-	-
Net Insurance Funds		8,070,611	29,560,160	2,435,773	40,066,544
Admissible Assets					
1	Cash and Cash Equivalents	27,128	12,328	10,683	50,139
2	Treasury bills and Government Bonds	688,987	483,331	1,099,257	2,271,575
3	Corporate Bonds & Debenture				-
4	Quoted Shares	50,255	-	35,833	86,088
5	Unquoted Shares	220,000	160,000	290,000	670,000
6	Loan to Policy holders	162,289	-		162,289
7	Investment Properties	6,855,000	550,000	1,000,000	8,405,000
	Total Admissible Assets	8,003,659	1,205,659	2,435,773	11,645,091
SURPLUS(DEFICIT) IN ASSETS COVER		(66,952)	(28,354,501)	0	(28,421,453)

NOTES TO THE FINANCIAL STATEMENTS

4.6 Minimum Capital requirement

The company did not meet the minimum capital requirement of N2 billion as stipulated by the Insurance Act

The Solvency Margin for African Alliance Insurance Plc. as at 30 September 2024 is as follows:			
	Total	Admissible	Inadmissible
Assets	N'000	N'000	N'000
Cash & Cash Equivalent	50,139	50,139	-
Financial Assets	32,033,535	32,033,535	-
Trade Receivable	-	-	-
Reinsurance Assets	104,553	104,553	-
Other Receivable & Prepayment	762,622	163,079	599,542
Investment properties	12,734,000	8,405,000	4,329,000
Investment in Subsidiary	105,000	-	105,000
Investment in Associate	-	-	-
Retirement benefit assets	-	-	-
Deffered Tax Asset	146,476	-	146,476
Intangible assets	23,677	23,677	-
Right of Use Assets	84,878	-	84,878
Property Plant & Equipment	578,412	578,412	-
Statutory Deposit	200,000	200,000	-
Total Assets (a)	46,823,290	41,558,395	5,264,895
Liabilities			
Insurance Contract Liabilities	37,735,325	37,735,325	-
Investment Contract Liabilities	2,435,773	2,435,773	-
Employee Benefit	45,106	45,106	-
Borrowing	-	0	-
Trade Payable	1,684,566	1,684,566	-
Other Payables & Accruals	1,063,199	1,063,199	-
Dividend Payable	-	-	-
Deffered Tax Liabilities	92,107	-	92,107
Tax Payable	563,752	563,752	-
Total Liabilities (b)	43,619,828	43,527,721	92,107
SOLVENCY MARGIN (a-b)		(1,969,326)	
Subject to Higher of:			
15% of Gross premium income	608,685		
or			
Minimum Capital Requirement		2,000,000	
Surplus/(Deficit) In Solvency Margin		(3,969,326)	
Gross Solvency ratio		-98%	
Net Solvency ratio		-198%	

5.0 The minimum capital required is compared with the equity maintained during the period in the table below:

	ACTUAL	
	30-Sep-24	31-Dec-23
	N'000	N'000
Shareholders' equity	3,203,462	2,029,275
Capital requirement on regulatory basis	2,000,000	2,000,000
Shortfall in Solvency Margin	(3,969,326)	(5,482,757)
Shortfall in Asset cover for contract liabilities	(28,421,453)	(29,322,330)

AFRICAN ALLIANCE INSURANCE PLC

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

6 Cash and cash equivalent

	Company	
	Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
Cash in bank (note 6.2)	445,202	322,375
Short-term bank deposits	(395,064)	465,456
	<u>50,139</u>	<u>787,831</u>
Short Term Bank Deposit		
Short Term Bank Deposit	(394,886)	489,505
ECL Impairment 01 January	(24,049)	(19,336)
Additional ECL Impairment during the year	23,871	(4,713)
	<u>(395,064)</u>	<u>465,456</u>

6.1 Movement in ECL adjustment on cash and cash equivalent is detailed below

	30-Sep-24 N'000	31-Dec-23 N'000
At 1 January	24,049	19,336
Movement for the year	(23,871)	4,713
At 30 September	<u>178</u>	<u>24,049</u>

6.2 Cash and cash equivalent for the purpose of cashflow

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less. They include:

	Company	
	Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
Cash in bank	445,202	322,375
Short-term bank deposits	(394,886)	489,505
	<u>50,316</u>	<u>811,880</u>

7 Financial assets

7.1

FVTPL - Quoted equities

These are quoted equities in the Nigerian Stock Exchange, the fair value were determined by reference

	Company	
	Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
Quoted equity securities	86,088	270,453
	<u>86,088</u>	<u>270,453</u>

7.1i	Movement in FVTPL - Quoted equities		
	At 1 January	270,453	139,135
	Disposal	-	-
	Fair value changes	<u>(184,365)</u>	<u>131,318</u>
	At 30 September	<u><u>86,088</u></u>	<u><u>270,453</u></u>
7.2	FVTPL - Debt Securities (bonds)		
	Government and corporate bonds	2,208,793	2,929,077
	Fair value changes	<u>(170,546)</u>	<u>129,058</u>
		<u><u>2,038,246</u></u>	<u><u>3,058,136</u></u>
7.2i	Movement in FVTPL - Debt Securities (bonds)		
	At 1 January	3,058,136	6,269,672
	Additions	-	240,000
	Redemption/disposal	-	(3,580,594)
	Fair value changes	<u>(170,546)</u>	<u>129,058</u>
		<u><u>2,887,590</u></u>	<u><u>3,058,136</u></u>
7.2ii	Net fair value gains/(loss)		
	Fair value gain on equity shares	(184,365)	131,318
	Fair value gain on Bonds	<u>(170,546)</u>	<u>129,058</u>
		<u><u>(354,912)</u></u>	<u><u>260,377</u></u>
	Fair value movement		
	As 1 January	467,896	338,838
	Fair value changes	<u>(170,546)</u>	<u>129,058</u>
	At 30 September	<u><u>297,350</u></u>	<u><u>467,896</u></u>
7.3	FVOCI (Unquoted Equities)		
	The unquoted equities carried as fair value through Other Comprehensive Income financial assets were fair valued using the fund prices advised by the investee companies		
	Equity securities	29,846,418	29,846,418
		<u><u>29,846,418</u></u>	<u><u>29,846,418</u></u>

7.3i Movement in unquoted equities FVOCI

At 1 January	29,846,418	29,846,418
Additions		
Impairment (charge)/write back		
Fair value loss at the date of repurchase Note 29		
Disposal	-	-
Fair value changes	-	-
	<u>-</u>	<u>-</u>
At 30 September	<u>29,846,418</u>	<u>29,846,418</u>

7.4 Amortised cost - Debt securities

Commerical paper	(0)	(0)
Corporate bond	57,576	57,576
Promissory notes	-	-
Treasury Bills	6,205	6,205
ECL Adjustment	(999)	(999)
	<u>62,782</u>	<u>62,782</u>
	<u>62,782</u>	<u>62,782</u>

7.4i Movement in Amortised cost - Debt securities

At 1 January	63,781	63,781
Addtions		
Redemption	-	-
ECL Adjustment	(999)	(999)
At 30 September	<u>62,782</u>	<u>62,782</u>
	<u>62,782</u>	<u>62,782</u>

7.4ii Movement in ECL adjustment on Amortised cost - Debt securities

At 1 January	(999)	(1,489)
Movement for the year	-	490
At 30 September	<u>(999)</u>	<u>(999)</u>
	<u>(999)</u>	<u>(999)</u>

8 Trade receivables
Premium receivables
Trade debtors
Impairment allowance

9 Reinsurance assets: This is analysed as follows

Reinsurance receivables
Reinsurance share of claims Incurred But Not Reported (IBNR) (note 9 (i))
Prepaid reinsurance (note 9(ii))

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

		Company	
		Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
9 (i)	Movement in reinsurance share of claims Incurred But Not Reported (IBNR)		
	At 1 January	83,887	83,887
	Changes during the year	-	-
	At 30 September	83,887	83,887
9 (ii)	Prepaid reinsurance		
	At 1 January	17,070	17,070
	Additions in the year	-	-
	Amortised in the year-reinsurance expense (see note 31)		
	At 30 September	17,070	17,070
10	Other receivables and prepayments		
		Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
	Mortgage Loans- staff	10,555	10,555
	Policy loans	173,480	180,696
	Due from agents	57,905	58,457
	Investment Income Recievable	0	0
	Prepayment Rent	10,261	4,408
	Prepayment - Others	98,265	48,490
	Staff Loans & Receivables	7,263	8,477
	Deposit for Investment (note 10.2)	-	-
	Due from related company (note 10.3)	1,600,267	1,600,267
	Stock of raw materials & consumables	1,682	1,701
	Staff share loans	2,131,790	2,131,790
	Other receivables	452,359	340,609
		4,543,827	4,385,450
	Impairment allowance (note 10.1d)	(3,781,204)	(3,781,237)
		762,622	604,213
	Current	158,409	(87,743)
	Non-current	604,213	691,956
		762,622	604,213

		Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
10.1a	The Movement in Other receivables and prepayments		
	At 1 January	4,385,450	4,469,323
	Transfer from Loans and Receivables		
	Additional loans and receivables		
	Balances written off against provision		
	Movement during the year	158,377	(83,872)
	At 30 September	<u>4,543,827</u>	<u>4,385,450</u>
10.1b	Staff Share Loan:		
	This amount is made up of African Alliance Company Plc share purchased during the private placement exercise on behalf of staff of the company and this has been fully impaired.		
		Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
10.1c	The Movement in impairment allowance is as follows		
	At 1 January	3,781,237	3,777,369
	Reclassification to/from loans and receivables		
	Impairment on loans and receivables (write off/write back)	(33)	3,870
	Impairment on Short term loan		
	Provision no longer required on Frenchies taken over by AAIC in 2017		
	Impairment on Other receivables		
	Balances written off against provision		
	At 30 September	<u>3,781,204</u>	<u>3,781,237</u>
10.1d	Impairment allowance		
	Policy Loans	18,407	18,407
	Mortgage staff loans	2,809	2,842
	Due from agents	4,199	4,199
	Investment income receivables	-	-
	Deposit for investment	-	-
	Due to related company	1,600,267	1,600,267
	Staff Account Receivable	7,002	7,002
	Staff Share loan	2,131,790	2,131,790
	Other receivables	16,729	16,729
		<u>3,781,204</u>	<u>3,781,237</u>
		Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
10.2	Deposits for shares/Investment		
	First Ghana Buidling Company Limited, Ghana		
	Paramount Hotel,Ghana		
	Fountian Trust Limited	-	-
	Golden Securities Limited	-	-
	Ghana Life Insurance Limited	-	-
		<u>-</u>	<u>-</u>
10.2i	Movement in Deposit for shares		
	At 1 January	-	-
	Additional injection of funds during the year		
	Impairment allowance	-	-
	At 30 September	<u>-</u>	<u>-</u>
10.3	Due from related company		
	Universal Insurance Company Plc	<u>1,600,267</u>	<u>1,600,267</u>
10.4	Movement in impairment allowance		
	At 1 January	1,600,267	1,600,267
	Impairment charge/(written back) for the year		-
	At 30 September	<u>1,600,267</u>	<u>1,600,267</u>

AFRICAN ALLIANCE INSURANCE PLC

**NOTES TO THE FINANCIAL STATEMENTS
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	Actual 30-Sep-24 N'000	Company	Actual 31-Dec-23 N'000
11 Investment properties			
At 1 January	12,734,000		11,080,750
Acquisition/improvement	-		-
Disposal	-		-
Transfer to Land & Building	-		-
Fair value gain on revaluation	-		1,653,250
	<u>12,734,000</u>		<u>12,734,000</u>
At 30 September			
	<u>12,734,000</u>		<u>12,734,000</u>
Of the investment properties, the following relates to insurance Funds:			
Insurance funds	8,405,000		8,405,000
Shareholders funds	<u>4,329,000</u>		<u>4,329,000</u>
	<u>12,734,000</u>		<u>12,734,000</u>

The properties were valued by A.C. Otegbulu & Partners Estate surveyors & Valuers, a registered member of Financial Reporting Council of Nigeria (FRCN/2013/NIESV/0000001582), in December, 2022 on the basis of determining the open market value of the investment properties. The open market value of all the properties were determined using recent comparable market prices.

The properties are held for long term capital appreciation and rental income.

	Actual 30-Sep-24 N'000	Company	Actual 31-Dec-23 N'000
11.1 A brief descriptions of the properties held by Company are as follows			
Breadfruit Street Marina Lagos	4,920,000		4,920,000
Land at Pankere Village, Abijo, Ibeju Lekki	4,329,000		4,329,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	944,000		944,000
Sani Abacha Estate, Abuja	1,078,000		1,078,000
73 Oyemekun street, Akure	38,000		38,000
Property at Millennium Housing estate	97,000		97,000
112 Broad Street, Lagos	1,328,000		1,328,000
	-		-
	<u>12,734,000</u>		<u>12,734,000</u>
A brief descriptions of the properties held by the company in its name are as follows:			
Breadfruit Street Marina Lagos	4,920,000		4,920,000
Property at Millennium Housing estate	97,000		97,000
73 Oyemekun street, Akure	38,000		38,000
112 Broad Street, Lagos	1,328,000		1,328,000
Sani Abacha Estate, Abuja	1,078,000		1,078,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	944,000		944,000
	<u>8,405,000</u>		<u>8,405,000</u>
A brief descriptions of the properties held by the company in the name of Conau Limited are as follows:			
Land at Pankere Village, Abijo, Ibeju Lekki	4,329,000		4,329,000
	-		-
	<u>4,329,000</u>		<u>4,329,000</u>
Total investment property	<u>12,734,000</u>		<u>12,734,000</u>

11.2 Movement in Investment Properties					
Company					
Description	Opening balance N'000	Additions N'000	Disposal/Transfer N'000	Fair value N'000	Closing balance N'000
Breadfruit Street Marina Lagos	4,822,000	-	-	98,000	4,920,000
Land at Pankere Village, Abijo, Ibeju Lekki	2,972,000	-	-	1,357,000	4,329,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	910,000	-	-	34,000	944,000
Sani Abacha Estate, Abuja	975,000	-	-	103,000	1,078,000
73 Oyemekun street, Akure	31,250	-	-	6,750	38,000
Property at Millennium Housing estate	85,500	-	-	11,500	97,000
112 Broad Street, Lagos	1,285,000	-	-	43,000	1,328,000
	<u>11,080,750</u>	<u>-</u>	<u>-</u>	<u>1,653,250</u>	<u>12,734,000</u>

11.3 INVESTMENT PROPERTIES NOT IN THE NAME OF AFRICAN ALLIANCE**FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Land at Pankere Village, Ab	Deed of Assignment & Governor's Consent for Application to assignment between Land Owner and Conau Limited	Year 2008	N/A	Abijo GRA Ibeju Lekki, Lagos state	4,329,000

INVESTMENT PROPERTIES IN THE NAME OF AFRICAN ALLIANCE**FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Property Breadfruit Street M	Lagos State Government Land Certificate and Deed of Assignment	Year 1960	L03746	13/17 Breadfruit Street, Lagos	4,920,000
Property Rumuogba Layout, Aba road, Port Harcourt	Deed of Assignment & Certificate of Occupancy	Year 2008	N/A	Plot C4, Rumuogba Layout, Aba road, Port Harcourt	944,000
73 Oyemekun street, Akure	Certificate of Right of Occupancy	Year 1983	N/A	73 Oyemekun street, Akure	38,000
Property at Millennium Hou	Lagos State Government Allocation Letter	Year 2004	N/A	Block B House 9B Oba Adeyinka Oyekan Housing Estate Lekki, Lagos	97,000
Duplex at Sani Abacha Esta	Deed of Assignment between Federal Republic of Nigeria represented by EFCC and Conau Limited	Year 2008	N/A	2220 Suez Canal Crescent Sani Abacha Estate, Abuja	1,078,000
Property 112 Broad Street,	Lagos State Government Land Certificate and Deed of Assignment	Year 1961	L03990	112 Broad Street,	1,328,000
					8,405,000

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

12 Investment in subsidiary

The company's investment in subsidiary is as stated below:

	Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
Axiom Air Limited (Note 12a)	3,000,000	3,000,000
Ghana Life Insurance Company Limited (Note 12b)	1,770,741	1,770,741
	4,770,741	4,770,741
Impairment allowance (note 12d)	(4,665,741)	(4,665,741)
	105,000	105,000

12a Axiom Air Limited:-

The movement in Axiom Air Limited is as follows:

At 1 January	3,000,000	3,000,000
Additions, during the period (capital injection)	-	-
Impairment allowance	(3,000,000)	(3,000,000)
	-	-

The company was incorporated on 17 July 2008 to carry on the business of airline owners and management, provide air transport for public use; to provide all necessary and or desirable services incidental to this objective, including booking, reservation, routing and ticketing services, baggage management, flight catering and entertainment and provision of hotel accommodation. The company is wholly owned.

12b Ghana Life Insurance Company Limited

The movement in Ghana Life Limited is as follows:

At 1 January	1,770,741	1,770,741
Additions, during the period (capital injection)	-	-
Impairment allowance	(1,665,741)	(1,665,741)
	105,000	105,000

The company is a subsidiary of African Alliance Insurance Plc. The company is domiciled in Ghana and is permitted by its regulation to carry on the business of life insurance.

12c Movement in the impairment in Ghana life is as follows

	Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
At 1 January	1,665,741	1,665,741
Impairment charge/(written back) for the year	-	-
	1,665,741	1,665,741

12d Movement in impairment allowance in investment in subsidiary

At 1 January	4,665,741	4,665,741
Impairment charge/(written back) for the year	-	-
At 30 September	4,665,741	4,665,741

Movement in impairment charge

	At 1 Jan 2023	Additional charge	30-Sep-24
Axiom Air Limited	3,000,000		3,000,000
Ghana Life Insurance company	1,665,741	-	1,665,741
	4,665,741		4,665,741

	Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
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13 Investment In associate

Investment in Pension Alliance Limited

	-	-
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**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

14	Intangible assets	Company	
		Computer Software N'000	Total N'000
	Cost		
	At 1 January 2024	166,601	166,601
	Additions	-	-
	At 30 September 2024	166,601	166,601
	Amortisation		
	At 1 January 2024	133,816	133,816
	Charge for the period	9,108	9,108
	At 30 September 2024	142,924	142,924
	Net book amount		
	At 30 September 2024	23,677	23,677
	At 31 December 2023	32,785	32,785

14.1	Intangible asset	Company	
		Computer Software N'000	Total N'000
	Cost		
	At 1 January 2023	153,164	153,164
	Additions	13,438	13,438
	At 31 December 2023	166,601	166,601
	Amortisation		
	At 1 January 2023	119,804	119,804
	Charge for the period	14,012	14,012
	Impairment charge	133,816	133,816
	At 31 December 2023	32,785	32,785

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

**15 Property and equipment
Company**

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2024	100,000	188,331	494,904	213,632	314,508	419,572	1,730,947
Additions	-	-	-	0	7837	5212	13,049
Disposal	-	-	-	-	(503)	(4,465)	(4,968)
Transfer from Investment Properties	-	-	-	-	-	-	-
Derecognition	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 30 September 2024	100,000	188,331	494,904	213,632	321,842	420,319	1,739,027
Depreciation							
At 1 January 2023	-	7,732	372,790	147,849	275,024	242,772	1,046,168
Charge for the year	-	3,868	56,211	10,608	18,950	26,597	116,235
Disposal	-	-	-	(273)	(176)	(1,339)	(1,788)
Elimination of accum dep on revaluation	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 30 September 2024	-	11,601	429,001	158,184	293,798	268,031	1,160,615
Net book amount							
At 30 September 2024	100,000	176,730	65,903	55,448	28,044	152,288	578,412
At 31 December 2023	100,000	180,598	122,114	65,782	39,484	176,798	684,777

Property and equipment	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2023	100,000	188,331	436,753	214,394	306,263	415,699	1,661,441
Additions	-	-	-	-	7,837	5,212	71,200
Disposal	-	-	-	(763)	408	(1,341)	(1,696)
Transfer from Investment Properties	-	-	-	-	-	-	-
Derecognition	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 December 2023	100,000	188,331	494,904	213,632	314,508	419,570	1,730,945
Depreciation							
At 1 January 2023	-	4,331	307,490	133,309	244,263	208,670	898,063
Charge for the year	-	3,401	65,301	14,814	30,937	35,441	149,894
Disposal	-	-	-	(273)	(176)	(1,339)	(1,788)
Elimination of accum dep on revaluation	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 December 2023	-	7,732	372,790	147,849	275,024	242,772	1,046,168
Net book amount							
At 31 December 2023	100,000	180,598	122,114	65,782	39,484	176,798	684,777
At 31 December 2022	98,000	169,669	129,263	80,186	62,000	207,027	743,045

**NOTES TO THE FINANCIAL STATEMENTS
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	Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
16 Right of Use Assets		
At 1 January	123,953	23,490
Additions	-	195,935
Amortizations	(39,074)	(95,472)
	<u>84,878</u>	<u>123,953</u>

17 Statutory deposit

This represents 10% of the regulatory minimum share capital deposited with the Central Bank of Nigeria in accordance with the requirement of section a(i) and section 10(3) of Insurance Act. Interest Income earned on this deposit is included in investment income

	Company Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
Statutory deposit	<u>200,000</u>	<u>200,000</u>
Non-current	<u>200,000</u>	<u>200,000</u>
18 Insurance contract liabilities		
GROSS		
Outstanding claims (see note i)	1,867,200	1,751,352
Unearned premiums (see note ii)	1,457,607	527,031
Short term insurance contract - Claims incurred but not reported (IBNR) (see note iii)	567,222	2,018,133
Liability on annuity fund (see note iv)	29,560,160	29,802,260
Liability on long term insurance contract - Life fund	<u>4,283,136</u>	<u>6,750,355</u>
<i>Total Insurance liabilities (Gross)</i>	<u>37,735,324</u>	<u>40,849,131</u>
Current	(3,113,806)	967,077
Non-current	<u>40,849,131</u>	<u>39,882,054</u>
	<u>37,735,324</u>	<u>40,849,131</u>
Recoverable from reinsurers		
Claims reported and loss adjustment expenses	-	-
Unearned premiums	17,070	17,070
IBNR on Short term insurance contract	<u>83,887</u>	<u>83,887</u>
<i>Total reinsurers' share of insurance liabilities</i>	<u>100,957</u>	<u>100,957</u>
NET		
Claims reported and loss adjustment expenses	1,867,200	1,751,352
Unearned premiums	1,440,537	509,961
Claims incurred but not reported on Short term insurance contract	483,335	1,934,246
Liability on annuity fund	29,560,160	29,802,260
Liability on long term insurance contract (Life fund)	<u>4,283,136</u>	<u>6,750,355</u>
<i>Total Insurance liabilities (Net)</i>	<u>37,634,367</u>	<u>40,748,174</u>

(i) The movement in outstanding claims during the year was as follows:

	Company Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
At 1 January	1,751,352	976,098
Additions claims incurred during the period (see note 32)	3,460,284	7,730,789
Exchange difference arising from translation		
Claims paid during the period	<u>(3,344,436)</u>	<u>(6,955,536)</u>
At 30 September	<u>1,867,200</u>	<u>1,751,352</u>

Age of outstanding claims

0 - 90 days	-	-
91- 180 days	-	-
181-270 days	-	-
271 -365 days	1,867,200	1,751,352
366 days and above	<u>-</u>	<u>-</u>
	<u>1,867,200</u>	<u>1,751,352</u>

**NOTES TO THE FINANCIAL STATEMENTS
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(ii) The movement in unearned premium during the year was as follows:

	Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
At 1 January	527,031	391,976
Change during the year	930,576	135,055
At 30 September	1,457,607	527,031

(iii) The movement in IBNR claims on Short term insurance during the year was as follows:

	Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
At 1 January	2,018,133	838,867
Change during the year	(1,450,911)	1,179,266
At 30 September	567,222	2,018,133

(iv) The movement in annuity fund during the year was as follows:

	Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
At 1 January	29,802,260	29,903,761
Change during the year	(242,100)	(101,501)
At 30 September	29,560,160	29,802,260

(v) The movement in life fund contract (excluding annuity) during the year was as follows:

	Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
At 1 January	6,750,354	7,771,350
Exchange difference from translation		
Change during the year	(2,461,766)	(1,020,996)
At 30 September	4,288,588	6,750,354

(vi) Insurance contract liabilities at the end of the period were as follows:

	Actual 30-Sep-24 N'000	Company Actual 31-Dec-23 N'000
Outstanding claims	1,867,200	1,751,352
Unearned premiums	1,457,607	527,031
Short term insurance contract- IBNR	567,222	2,018,133
Liability on Annuity contract	29,560,160	29,802,260
Liability on long term insurance contract - Life fund	4,283,135	6,750,354
	37,735,324	40,849,130

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

19 Investment contract liabilities

The investment contract liabilities comprise interest-linked guaranteed investment funds. The movement in the investment contract liabilities is shown below:

	Company	
	Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
At 1 January	2,919,134	4,089,863
Deposits received during the year	672,867	724,374
Deposits Admin. No longer required		-
Withdrawals during the year	(1,185,230)	(1,986,647)
Guaranteed interest in the year	<u>29,001</u>	<u>91,545</u>
At 30 September	<u><u>2,435,772</u></u>	<u><u>2,919,134</u></u>
Non-current	<u><u>2,435,772</u></u>	<u><u>2,919,134</u></u>

Investment contract liabilities consist of group deposit administered funds and account balance of policy holders under investment linked insurance funds. Movement in the relevant funds are detailed below

	Company	
	Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
19.1 Liabilities on administered deposits		
At 1 January	116,294	103,948
Deposits received during the year	-	3,810
Deposit Adm. No longer required		
Withdrawals during the year	-	-
Guaranteed interest in the year	<u>-</u>	<u>8,537</u>
At 30 September	<u><u>116,294</u></u>	<u><u>116,294</u></u>
19.2 Investment linked fund		
At 1 January	2,802,840	3,985,915
Deposits received during the year	672,867	720,564
Withdrawals during the year	(1,185,230)	(1,986,647)
Guaranteed interest in the year	<u>29,001</u>	<u>83,008</u>
At 30 September	<u><u>2,319,478</u></u>	<u><u>2,802,840</u></u>
20 Trade payable		
Unallocated premium deposits	1,525,700	1,537,534
Due to co-insurance	7,541	-
Due To/from Reinsurance	150,990	112,117
Trade creditors	<u>336</u>	<u>336</u>
	<u><u>1,684,566</u></u>	<u><u>1,649,987</u></u>
Current	<u><u>1,684,566</u></u>	<u><u>1,649,987</u></u>

20i	Unallocated premium deposits		
	At 1 January	1,537,534	533,466
	Movement during the year	(11,834)	1,004,068
	At 30 September	<u>1,525,700</u>	<u>1,537,534</u>

The amount represent premium deposits for which policy holders are yet to be identified due to inadequate information. The Company has already set up a committee to review it and make recommendations to management. Please see below the age analysis of the payables

S/N	Age of Unallocated Premium Deposit	Company	
		30-Sep-24 N'000	31-Dec-23 N'000
1	0 - 90 days	-	-
2	91- 180 days	-	-
3	181-270 days	-	-
4	271 -365 days	1,525,700	1,537,534
5	366 days and above	-	-
		<u>1,525,700</u>	<u>1,537,534</u>

	Company	
	Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
21 Other payables and accruals		
Agent savings	164,829	169,571
PAYE and other withholding taxes payable	165,852	123,771
Provisions and accruals	18,231	23,131
Rent receivable	147,011	154,878
Other creditors	<u>567,277</u>	<u>140,199</u>
Current (Payable within the period)	<u>1,063,198</u>	<u>611,549</u>

	Company	
	Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
22 Retirement benefit asset	<u>-</u>	<u>-</u>
22i Retirement benefit liabilities		
Staff pension scheme	45,106	48,325
Staff defined benefit plan	<u>-</u>	<u>-</u>
	<u>45,106</u>	<u>48,325</u>

		Company	
		Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
23	Borrowings		
	<i>Secured -at amortised cost</i>		
	Overdraft Facility	-	-
	Term Loan (i)	-	-
		<u>-</u>	<u>-</u>

- (i) Term loan represents a cash backed loan facility of N80million granted by First bank, the facility has a tenor of 24 months at an interest rate of 5%

		Company	
		Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
(ii)	Movement in overdraft facility & Term Loan		
	At 1 January	-	22,444
	Additions	-	-
	Interest expense	-	-
	Repayment	-	(22,444)
		<u>-</u>	<u>(22,444)</u>
	At 30 September	<u>-</u>	<u>-</u>

		Company	
		Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
24	Tax payable		
	<i>Company income tax payable:</i>		
	At 1 January	561,864	558,186
	Charge to profit and loss	1,888	3,678
		-	-
	Tax paid in the year	-	-
		<u>-</u>	<u>-</u>
	At 30 September	<u>563,752</u>	<u>561,864</u>
	Current	<u>563,752</u>	<u>561,864</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

25 Deferred tax liability	Company Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
The analysis of deferred tax liabilities is as follows:		
Deferred tax liability to be incurred within 12 months	92,107	92,107
	<u>92,107</u>	<u>92,107</u>
The movement on the deferred tax liabilities account is as follows:		
25a At 1 January	92,107	92,107
Tax charge recognised in other comprehensive income	-	-
Transfer of liabilities upon liquidation of subsidiaries	-	-
Foreign exchange difference arising from translation	-	-
Income statement charge	-	-
At 30 September	<u>92,107</u>	<u>92,107</u>
Non- current	<u>92,107</u>	<u>92,107</u>
25b Deferred tax asset		
The movement on the deferred tax asset account is as follows:		
At 1 January	146,476	146,476
Exch	-	-
Foreign exchange difference arising from translation	-	-
Income statement charge	-	-
At 30 September	<u>146,476</u>	<u>146,476</u>
Non- current	<u>146,476</u>	<u>146,476</u>
26 Share capital	Actual 30-Sep-24 Number	Actual 31-Dec-23 Number
<i>Ordinary Shares</i>		
26a Authorised share capital ('000)	<u>30,000,000</u>	<u>30,000,000</u>
	N'000	N'000
Paid up share capital of 20.585 billion ordinary shares of 50 kobo each	10,292,500	10,292,500
26b Paid up/(Cancelled) during the year	-	-
At 30 September	<u>10,292,500</u>	<u>10,292,500</u>
<i>Number of shares</i>	30-Sep-24	31-Dec-23
Shares at the beginning of the year('000)	20,585,000	20,585,000
Paid up/(Cancelled) during the year ('000):	-	-
At 30 September	<u>20,585,000</u>	<u>20,585,000</u>
26c Share premium	Company Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
At 1 January	14,365,133	14,365,133
Share Premium cancellation	-	-
Capital Restructuring account	-	-
At 30 September	<u>14,365,133</u>	<u>14,365,133</u>
27 Contingency reserves		
At 1 January	1,983,878	1,922,694
Transfer from retained earnings	117,607	61,183
At 30 September	<u>2,101,485</u>	<u>1,983,878</u>

In accordance with the insurance act, a contingency reserve is credited with the greater of 1% of total premiums or 10% of net profit. This shall accumulate until it reaches the amount of greater of minimum paid-up capital or 50 percent of net premium

28 Retained earnings	Company Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
At 1 January	(40,010,618)	(37,457,336)
Transfer to contingency reserves	(117,607)	(61,183)
Profit/(Loss) for the period	<u>1,174,186</u>	<u>(2,492,099)</u>
At 30 September	<u>(38,954,040)</u>	<u>(40,010,618)</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

29	Fair value reserves	Company	
		Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
	At 1 January	15,398,382	15,398,382
	Gain/(Derecognition) on revaluation on land and building		-
	Change in value of FVOCI financial assets (net of taxes)		-
	Additional reserve on repurchase of PAL Pension Limited	-	-
	At 30 September	15,398,382	15,398,382
29a	Fair value changes-statement of comprehensive income	Company	
		Actual 30-Sep-24 N'000	Actual 31-Dec-23 N'000
	Gain/(Derecognition) on revaluation on land and building	-	-
	Change in value of available for sale financial assets (net of taxes)	-	-
	Additional reserve on repurchase of PAL Pension Limited	-	-
30	Gross premium income	Company	
		Actual 30-Sep-24 N'000	Actual 30-Sep-23 N'000
	Individual life	1,303,548	1,812,446
	Group life	2,342,213	2,343,825
	Annuity	4,139	26,247
	Takaful	180,028	437,766
	Esusu	227,970	294,991
	Gross premium written	4,057,897	4,915,275
	Unearned premium		
	Group life	(930,576)	(367,882)
		3,127,322	4,547,393
31	Insurance premium ceded to reinsurers	Company	
		Actual 30-Sep-24 N'000	Actual 30-Sep-23 N'000
	Gross reinsurance expense	(109,212)	(56,082)
	Changes in prepaid reinsurance	-	-
		(109,212)	(56,082)
32	Fees and commission income	Company	
		Actual 30-Sep-24 N'000	Actual 30-Sep-23 N'000
	Group Life	(662)	-
	Individual Life	662	-
		-	0

Fee income represents commission received in direct business and transactions ceded to reinsurance companies during the year under review

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024

33 Insurance claims and loss adjustment expenses

Insurance claims and loss adjustment expenses

Company	30-Sep-24		
	N'000 Gross	N'000 Reinsurance	N'000 Net
Individual life	764,379	-	764,379
Group life	243,424	-	243,424
Annuity	1,991,969	-	1,991,969
Takaful	216,189	-	216,189
Esusu	128,476	-	128,476
	3,344,436	-	3,344,436
Increase in the expected cost of claims for unexpired risks	115,848	-	115,848
Claims incurred during the year	3,460,284	-	3,460,284
IBNR on Short term insurance contract	(1,450,911)	-	(1,450,911)
	2,009,373	-	2,009,373

Insurance claims and loss adjustment expenses

	30-Sep-23		
	N'000 Gross	N'000 Reinsurance	N'000 Net
Individual life	1,377,610	-	1,377,610
Group life	545,911	-	545,911
Annuity	3,000,902	-	3,000,902
Takaful	404,246	-	404,246
Esusu	(233,545)	-	(233,545)
Claims paid during the year	5,095,124	-	5,095,124
Changes in outstanding claims	561,471	-	561,471
Claims incurred during the period	5,656,595	-	5,656,595
IBNR on Short term insurance contract	539,722	-	539,722
	6,196,317	-	6,196,317

34 Underwriting expenses

	Company	
	Actual 30-Sep-24	Actual 30-Sep-23
	N'000	N'000
Acquisition cost	566,116	615,187
Maintenance cost	211,886	417,474
	778,002	1,032,661

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

		Company	
		Actual 30-Sep-24 N'000	Actual 30-Sep-23 N'000
35	Changes in long term insurance contracts		
	Changes in annuity fund	242,100	(135,341)
	Changes in individual life fund excluding annuity	2,461,766	(586,554)
		2,703,866	(721,895)
36	Other income		
	Rental income	34,429	78,704
	Gain upon disposal of investment properties	-	-
	Gain on disposal of PPE	-	-
	Gain on disposal of equities	-	-
	Sundry charges on investment linked products	-	-
	Foreign exchange gain/(loss)	176,953	340,435
	Disposal of investment	-	-
	Sundry(loss)/ income	4,448	7,200
		215,831	426,339
37	Fair value gain/(loss) on financial asset		
		Actual 30-Sep-24 N'000	Actual 30-Sep-23 N'000
	Bonds	(318,315)	(28,749)
	Quoted equities	(184,365)	61,497
		(502,680)	32,748
38	Investment income		
		Actual 30-Sep-24 N'000	Actual 30-Sep-23 N'000
	Interest income on cash and bank balances	2,984	14,916
	Interest income on bonds	(478,572)	682,831
	Investment income on planned asset	-	-
	Dividend Income	6,614	8,187
	Interest income on statutory deposit	16,368	4,922
	Interest income on loans and receivables	896	2,488
		(451,710)	713,344
39	Profit/(Loss) from investment contract:		
	Investment income from investment contract liabilities	10	74
	Deposit administration no longer required		
	Guaranteed interest	(29,001)	(49,013)
		(28,991)	(48,939)
40	Impairment on assets		
		Actual 30-Sep-24 N'000	Actual 30-Sep-23 N'000
	Provision on due from related party no longer required	-	-
	Mortgage and policy loans	-	-
	Cash & cash equivalent	-	-
	Investment securities	-	-
	Unquoted equities	-	-
	Staff account receivables	-	-
	Other receivables	-	-
	Short term loan	-	-
		-	-

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2024**

41 Employee benefit expenses

Company	
Actual #####	Actual 30-Sep-23
N'000	N'000
Wages and salaries	290,311
Other Staff Cost	99,087
Defined contribution pension costs	20,909
Defined benefit pension cost	-
<u>410,307</u>	<u>727,094</u>

42 Other operating and administrative expenses

Company	
Actual #####	Actual 30-Sep-23
N'000	N'000
Directors' emoluments	8,775
Other Director Costs	-
Bank Charges	8,746
Auditors' remuneration	-
Depreciation	114,359
Amortisation on Rights of Use assets	39,074
Amortisation	9,108
NITDA	-
Consultancy expenses	43,688
Security	9,316
Rent and rates	9,645
General maintenance and running costs	100,944
Advert and Publicity	24,663
Telecommunications	9,073
Dues and Subscription	8,108
Travels and accommodation	146,255
Insurance supervision fees	-
Insurance expenses	26,749
Printing and stationeries	696
Industrial training fund	7,725
Entertainment	7,477
Regulatory levies	-
Loss on Disposal of investment	(94,577)
Foreign exchange loss	-
Nigeria Police Levy	-
Leasehold Amortization	-
Office ICT expenses	48,682
Donation	-
Office cleaning expenses	11,845
Medical expenses	283
Other regulatory fees and fines	-
Other Administrative Expenses	29,142
<u>569,775</u>	<u>1,290,119</u>

43 ECL Allowance on cash and cash equivalents and

Company	
Actual #####	Actual 30-Sep-23
N'000	N'000
Cash & Cash Equivalents	(23,871)
Amortised Cost-bonds	-
Agency Loans	(1,169)
Loans and Receivables	189
<u>(23,904)</u>	<u>(7,679)</u>

44 Finance cost

Company	
Actual #####	Actual 30-Sep-23
N'000	N'000
Interest expense on borrowings	34,799
	-

45 Income tax expense

Company	
Actual #####	Actual 30-Sep-23
N'000	N'000
Current tax on profits for the year (note 24)	1,888
Capital gains tax	-
Deferred tax charge for the year	-
<u>1,888</u>	<u>4,631</u>